Cleveland Clinic

INTERNATIONAL & EMERGING MARKETS | ADVISORY OFFERING PROFILE

# Partnership, Affiliation & Transaction Advisory

*An advisory offering that shows leadership what a proposed partnership, affiliation or transaction would cost, return and risk before they commit.*

| CATEGORY | TYPICAL DURATION | DELIVERY MODEL |
|---|---|---|
| Finance Advisory: Plan Stage (deciding whether and how to invest) | 6 to 12 weeks | Hybrid, Workshop-based |

## 01 CLIENT NEED

Health systems are increasingly approached with, or are actively pursuing, partnerships, affiliations, joint ventures and acquisitions. Their economics depend heavily on structure, contribution levels, governance and how returns are shared, and material risks are not always visible in summary materials. Leadership needs an objective view of what a proposed arrangement would cost, return and risk before committing capital, brand or clinical capacity.

This offering sits in the Plan stage of the Cleveland Clinic Healthcare Financial Advisory Lifecycle, which follows an organization's financial decisions through five stages: Plan, Measure, Optimize, Manage and Transform. The Plan stage covers deciding whether and how to invest, and answers the client question "Can we do this?" It is typically requested by new market entrants and organizations pursuing growth through partnerships, affiliations or strategic transactions.

## 02 CLEVELAND CLINIC VALUE PROPOSITION

This offering is delivered by Cleveland Clinic's Finance Advisory team. Cleveland Clinic is an operating health system with 23 hospitals, 300 outpatient locations and about 83,000 caregivers, and has grown from Northeast Ohio into Florida, Las Vegas, Toronto, London and Abu Dhabi (figures as of December 31, 2025).

Clients get an evaluation from the perspective of a large operating health system, not only an outside advisor. The team understands how clinical operations, staffing and service mix translate into the numbers that decide whether a transaction creates value.

Through its International & Emerging Markets work, Cleveland Clinic has supported health system development and partnerships across multiple regions, bringing practical insight into the structures, risks and assumptions that matter most to boards and investors.

## 03 KEY DELIVERABLES

Deliverables depend on the type of arrangement under review and are confirmed at scoping.

- **Partnership or affiliation business case:** written report combining strategic fit and the financial implications for each party
- **Transaction financial model:** Excel-based model of the proposed arrangement, with operating assumptions, contributions and partner economics
- **Structure comparison:** analysis of alternative joint venture or affiliation structures under best, base and downside scenarios
- **Financial due diligence report:** findings, an assessment of each material risk and a prioritized list of open diligence questions
- **Assumptions workpaper:** the risks and assumptions that drive the analysis, documented for use in negotiation and integration planning
- **Executive presentation:** findings and a go or no-go recommendation, with the points to address in negotiation

## 04 DELIVERY MODEL

### Hybrid / Workshop-based

Delivered by Cleveland Clinic's Finance Advisory team, working alongside the client's finance and transaction leads. The engagement opens with a virtual kickoff and a structured data request, followed by interviews with key stakeholders. Analysis and modeling take place in weekly virtual working sessions, where interim findings are reviewed with the client team. It closes with an executive readout, on-site or virtual.

## 05 TYPICAL DURATION

### 6 to 12 weeks

- **Discovery (1 to 2 weeks):** Kickoff, structured data request, review of partner materials and stakeholder interviews
- **Analysis and modeling (4 to 8 weeks):** Financial model of the arrangement, structure comparison and due diligence, reviewed in weekly working sessions
- **Validation and readout (1 to 2 weeks):** Findings tested with leadership, recommendation finalized and presented at an executive readout

Where an engagement falls in the range depends mainly on the complexity of the transaction, the number of structures compared, the depth of due diligence required and how quickly partner data can be obtained. A single partnership evaluation sits at the low end; joint venture structuring with full due diligence sits at the high end. Cross-border or multi-party structures for governments and investors are scoped as a Premium International engagement.

## 06 RESOURCE REQUIREMENTS

### CLEVELAND CLINIC TEAM

- Director / Executive Sponsor: 5 to 10% (larger engagements)
- Assistant Director / Engagement Lead: 10 to 25%
- Manager / Workstream Lead: 20 to 40% (mid-sized and larger engagements)
- Senior Analyst: 30 to 60%
- Analyst: 20 to 50%
- Admin / Project Support: up to 10%

### CLIENT TEAM

- Executive sponsor with decision authority, for scoping, key reviews and the final readout
- Finance lead as day-to-day point of contact, attending the weekly working sessions
- Leaders responsible for the proposed arrangement, for interviews and to validate operating assumptions
- Access to partner materials and data through the client

*Percentages are the share of each team member's working time during the engagement, so they do not add up to 100%. Roles marked for larger engagements join only when the scope calls for them.*

### ENGAGEMENT ASSUMPTIONS

- The client provides timely access to the financial, operational, market, volume, stakeholder, reporting and staffing information in the data request
- Scope and timing may change if data is late or incomplete
- The structures and scenarios to be compared are confirmed at scoping
- Stakeholders are available for interviews and working sessions, and draft deliverables are reviewed within an agreed turnaround
- Recommendations are advisory; decisions and implementation remain with the client's leadership

## 07 EXPECTED OUTCOMES

- Leadership understands what the proposed arrangement would cost, return and risk before committing capital, brand or clinical capacity

- Each partner's economics are clear under alternative structures, so the board can choose the structure that fits
- Material financial risks surface before commitments are made, with open diligence questions to resolve
- The negotiating team enters discussions with scenario-tested numbers and a documented position
- Operating assumptions carry forward into integration planning, so results can be tracked against the plan agreed at signing